

Georgia will continue its strategic drift over the next 18 months, maintaining transactional relationships with the US, Russia, and the EU without firmly anchoring to any single camp — until a domestic political crisis or external shock forces a definitive choice.

# 75%

PROBABILITY

Target: December 2027

## WHAT'S NEW

- PM Kobakhidze submitted his annual report (June 3, expected parliamentary presentation June 26). Emphasizes US reset, EU integration, Ukraine support, and economic growth. Claims Georgia co-sponsored ~850 resolutions opposing Russian aggression and made 380+ national statements supporting Ukraine — an attempt to demonstrate continued Western alignment despite the domestic democratic rollback.
- Georgia-Azerbaijan 20-year energy and rail agreements signed (May 18, reported June 2). Includes 20-year gas purchase extension, 20-year electricity supply/transit framework, and restoration of daily Tbilisi-Baku passenger rail. Strengthens Georgia's transit hub role but raises energy security concerns: Russian gas supplies to Georgia rose significantly in 2025 while Azerbaijani share declined. Critics (including former National Bank president Roman Gotsiridze) warn the deals could lock Georgia into greater Russian gas dependence.
- Ukraine reset attempt. Zelenskyy spoke with Kobakhidze at the Yerevan EPC summit (early May); Ukrainian FM Sybiha held talks with Georgian FM Bochorishvili (May 15), stating Kyiv is ready for a "new chapter." However, Kobakhidze and senior GD officials remain under Ukrainian sanctions — a contradiction that Georgian civil society (via professor Amiran Khevtsuriani) has flagged as confusing and potentially abandonment of protest supporters.
- US State Department delegation statement subtly pushed back on GD's narrative, emphasizing that "functioning democracy requires political opposition that interacts with state institutions" — a direct counter to GD's claim that the opposition is foreign-controlled.
- German Ambassador controversy. GD officials (Kobakhidze, Makhashvili, Matikashvili) sharply criticized German Ambassador Peter Fischer's remarks as "divisive" and "xenophobic," signaling continued deterioration in Georgia-Germany relations.
- EBRD upgraded Georgia's 2026 growth forecast to 6% (up 0.5pp), confirming continued economic momentum despite political isolation.
- Seven defendants admitted guilt in the October 4 coup attempt case, with plea agreements expected.
- Independence Day protests (May 26) drew thousands to Rustaveli Avenue. Neither government nor opposition showed willingness to compromise.

## ANALYSIS

### **| POLITICAL**

The dominant political dynamic remains Georgian Dream's regime survival doctrine — and the new developments since June 3 reinforce rather than disrupt it. Kobakhidze's annual report is a carefully constructed document designed to present GD as simultaneously pro-Western (850 Ukraine resolutions, 380 statements), pro-US (reset agenda), and pro-EU (integration commitments) — while doing none of the substantive democratic reforms that would make any of these claims credible to Western institutions.

The US reset is the most significant active file. The Trump administration's willingness to engage is real, driven by Middle Corridor interest and transactional diplomacy. But the US Embassy's statement — emphasizing democratic functioning and opposition engagement — reveals that Washington is not simply rubber-stamping GD's approach. The reset is conditional and cautious, not a blank check.

The Ukraine reset is more ambiguous. Zelenskyy's engagement with Kobakhidze is striking given that the Georgian PM remains under Ukrainian sanctions. This suggests Kyiv may be prioritizing regional stability and corridor access over democratic conditionality — a pragmatic calculation, but one that confuses and demoralizes Georgia's pro-European opposition.

The German Ambassador row is a leading indicator. GD's aggressive pushback against Fischer (calling his remarks "xenophobic") is a deliberate escalation against the EU's most influential member state. It signals GD's calculation that the Trump reset insulates it from European pressure. This is a risky bet — Germany remains Georgia's largest EU trade partner and a key voice in accession decisions.

The domestic political trajectory is frozen. The October 4 coup case plea deals give GD a judicial narrative of legitimacy. The opposition remains fragmented and boycotting parliament. The protests continue but have not reached a scale that threatens GD's grip. The next parliamentary elections (October 2028) are the likely inflection point.

### **| ECONOMIC**

Georgia's economy continues to perform well (EBRD 6% forecast), driven by transit, logistics, ICT, and tourism. The Georgia-Azerbaijan energy agreements are economically rational in the short term — securing gas supply and rail connectivity — but strategically concerning. The shift toward Russian gas dependence is a quiet but significant vulnerability. If Western sanctions on Russia tighten further, Georgia could face energy supply complications or be forced into costly diversification.

The Middle Corridor remains Georgia's strongest economic card. The Baku-Tbilisi-Kars railway restoration and the new section being made operational reinforce Georgia's irreplaceable geographic position. However, the Anaklia Deep Sea Port (Chinese-financed) remains a flashpoint — it would increase capacity but deepen Chinese economic influence in a sector the US views through a strategic competition lens.

The Swissôtel Kobuleti project and similar investments signal that FDI continues despite political headwinds. But this investment is concentrated in tourism and real estate — sectors that are vulnerable to geopolitical shocks and don't build the industrial base Georgia needs for EU accession.

### **| MILITARY**

No significant changes since the last report. Russia's occupation of 20% of Georgian territory remains the defining military fact. GD continues its deliberate demilitarization of the Western alignment — no NATO exercises, no military

cooperation with Ukraine, no reintegration rhetoric. Russian forces in Abkhazia and South Ossetia continue creeping borderization. The military balance heavily favors Russia, and GD's caution is driven by the fear of becoming "a second Ukraine" — a fear that Russia's continued presence in Georgian territory reinforces regardless of whether Moscow has the intent or capacity to act.

The US military relationship remains minimal. The Trump reset has not included any visible security component. This is a gap — if the reset deepens, military-to-military engagement would be the most concrete signal of a genuine strategic shift.

## **| TECHNOLOGICAL**

Georgia's ICT sector continues to grow, but the technological dimension of Georgia's geopolitical positioning is increasingly a US-China competition zone. Chinese tech investment (potential 5G, surveillance systems, Anaklia port digital infrastructure) is a concern for Washington. The Trump administration is likely to push back on Chinese tech penetration as part of any deeper engagement. Georgia's tech sector thus faces a forced-choice dynamic that mirrors the broader geopolitical drift.